

NEWSLETTER



This Month's Insight

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Fresh Financial Year

Moving into FY 2026-27 requires more than just closing the past; it demands an architectural shift in reporting. This month, we decode the Schedule III compliance, analyze the new GSTR-3B liability breakups, and provide a roadmap for the revised TDS protocols on immovable property.

With the New Income Tax Code effective from 1 April 2026, it is time to begin equipping our teams with the knowledge needed for a seamless transition into the new financial year.

Schedule III under Ind AS: From Compliance to Financial Reporting Integrity

-K. Sri Rakshitha

In the high-stakes world of corporate governance, financial statements are more than a statutory filing - they are company's most definitive statements of integrity in terms of financial values. When disclosures are imprecise, the numbers lose their voice, and the bridge of trust with stakeholders begins to fracture. Schedule III of the Companies Act, 2013, is the vital framework that prevents this collapse, transforming raw data into a standardized, transparent narrative of financial health.

Mandated under Section 129 of the Companies Act, 2013, read with the accounting standards notified under Section 133, Schedule III acts as the architectural blueprint for this transparency. It ensures that the economic substance of an entity is never obscured by its legal form, providing a universal language for stakeholders to interpret corporate performance.

To address diverse reporting requirements, the Act bifurcates its reporting requirements into three distinct divisions, each tailored to the specific accounting framework an entity adopts:

- **Division I:** The fundamental format for companies whose financial statements are prepared in accordance with the traditional **Accounting Standards (AS)**.

- **Division II:** The framework is mandated for the companies required to comply with Indian Accounting Standards (Ind AS).
- **Division III:** A specialized reporting structure designed exclusively for Non-Banking Financial Companies (NBFCs) that fall under the Ind AS regime.

While Schedule III establishes a uniform framework for presentation, its application under Division II (Ind AS) introduces a higher degree of complexity. The emphasis on fair value, substance-over-form, and enhanced disclosures shifts presentation from a structured exercise to one requiring considerable professional judgment.

Applicability of Division II

Division II of Schedule III applies to companies required to comply with Ind AS as per the Companies (Indian Accounting Standards) Rules, 2015. The roadmap for mandatory adoption includes:

- Companies with listed or proposed-to-be-listed equity or debt securities in or outside India.
- Unlisted companies with a net worth of ₹250 crore or more
- Holding, subsidiary, associate, and joint venture companies of the above, irrespective of their individual thresholds

While companies not meeting the mandatory criteria may elect to adopt Ind AS voluntarily, it is critical to note that once Ind AS is adopted, the transition is irrevocable. The entity must continue to follow the Division II framework for all subsequent financial years.

Key Areas of Judgment under Division II of Schedule III

Having established its applicability, the true significance of Division II emerges in its application. These areas are particularly critical, as they directly influence classification, disclosure, and the overall interpretability of financial statements.

- **Classification of Complex Financial Instruments:** Division II adopts a substance-over-form approach to financial instruments. Under Ind AS 32, management must assess whether an instrument is equity or a financial liability based on its contractual terms, particularly for instruments such as redeemable preference shares. Further, compound instruments like convertible debentures are required to be bifurcated into equity and liability components for presentation, with measurement guided by Ind AS 109.
- **Categorization of Other Comprehensive Income (OCI):** The classification of OCI items into those that will or will not be reclassified to profit or loss, as prescribed under Ind AS 1,

represents a key area of judgment. This distinction has a direct bearing on the presentation of financial performance and facilitates a clear distinction between operational results and unrealised valuation changes.

- **Operating Cycle and**

Classification: The classification between current and non-current items hinges on determining the entity's normal operating cycle. As per Ind AS 1, a 12-month period is presumed where the cycle is not clearly identifiable; however, judgment is required where business realities such as long-term projects warrant a longer cycle, directly impacting the presentation of liquidity.

- **Determination of Materiality:** Materiality forms the foundation of financial statement presentation. Management must assess whether an item, individually or collectively, could influence the economic decisions of users — a determination that depends not only on size, but also on the nature and context of the item.

Key Breaches and Common Deficiencies Identified by NFRA and FRRB-ICAI

Given the judgment-intensive nature of Division II, these areas frequently become the focus of regulatory scrutiny. Observations from the National Financial Reporting Authority (NFRA), through its Audit Quality

Review reports, and the Financial Reporting Review Board (FRRB) of ICAI highlight recurring deficiencies in classification, disclosure, and presentation.

Classification Deficiencies

Misclassification remains one of the most frequently observed deficiencies, directly affecting the structure and interpretability of financial statements. Common instances include:

- Misplacing MAT credit under "Other Non-Current Assets" instead of grouping it within Deferred Tax Assets (Net) as required by Ind AS.
- Similarly, Reporting "Income Tax Payable" under "Other Current Liabilities" instead of presenting it as "Current Tax Liabilities (Net)" on the face of the Balance Sheet.
- Disclosing Equity Instruments at FVOCI under "Items that will be reclassified to Profit or Loss" when they belong under "Items that will not be reclassified."
- Classifying Contractual obligations such as unpaid dividends, employee benefits payable, under "Other Current Liabilities" instead of the mandated Other Financial Liabilities category.
- Failing to reclassify Redeemable Preference Shares to "Current" liabilities when they are due for settlement within the next year.
- Presenting "Investments" as standalone line items instead of including them within the required "Financial Assets" classification in the balance sheet.

Disclosure Deficiencies

- Disclosure failures — whether through omission or incomplete reporting — significantly impair the transparency and decision-usefulness of financial statements. Key observations include:
- Omission of mandatory disclosures regarding the principal amount and interest due remaining unpaid to suppliers under the MSME Act, 2006.
- Reporting related party loans and transactions on a "net" basis rather than a "gross" basis, which hides the true volume of activity between the parties.
- Neglecting to break down Key Management Personnel pay into mandatory categories, such as short-term benefits versus post-employment benefits.
- Absence of critical disclosures of Property, plant and Equipment such as depreciation methods, useful lives, and details of assets pledged as security.
- Incomplete reporting of CSR obligations, including the amount required to be spent, actual expenditure, nature of activities, and reasons for any shortfall.
- Incorrect classification of Bank Guarantees (performance or counter-guarantees) relating to the company's own obligations as contingent liabilities, contrary to prescribed guidance.

Presentation and Structural Deficiencies

Non-compliance with the structural and presentation requirements of Schedule III undermines the clarity and comparability of financial statements. Common deficiencies include:

- Omission of The Statement of Changes in Equity (SOCE), despite it being a mandatory component of Ind AS financial statements.
- A frequent lapse is the failure to bifurcate trade payables directly on the face of the Balance Sheet between dues to MSMEs and dues to other creditors.
- Non-compliance with prescribed rounding-off requirements, including presentation of figures in absolute rupees instead of appropriate units such as thousands, lakhs, or crores.
- Absence of corresponding comparative figures for prior periods and lack of systematic cross-referencing between the face of the financial statements and notes to accounts.
- Misclassification of actuarial gains and losses (remeasurement of defined benefit plans) under “Equity Instruments through OCI” instead of recognising them as a part of retained earnings.

Accounting and Valuation Breaches

Certain deficiencies arise from fundamental accounting judgments and policy application, ultimately resulting in mis-stated financial statement presentation. Key observations include:

- Write-back of liabilities recognised as “Other Income” without sufficient supporting evidence of settlement or waiver, resulting in overstated profits.
- Valuation of inventory at estimated market price instead of the lower of cost and net realisable value (NRV), contrary to applicable accounting standards.
- Failure to consolidate material subsidiaries, resulting in omission of required disclosures relating to consolidated entities under Schedule III.
- Hiding large income or expense amounts under the generic heading “Others” instead of giving them a separate, clear name.

The Takeaway

The breadth and recurrence of these lapses convey a clear message: **compliance with Schedule III is no longer a checklist exercise.** Regulatory scrutiny of financial statements has become increasingly rigorous, and deficiencies — whether in classification, disclosure, or presentation — are being identified and reported with precision.

Accordingly, Schedule III must be viewed not merely as a formatting requirement, but as a substantive framework that underpins the integrity of financial reporting. Periodic internal reviews against these commonly observed deficiencies can serve as a critical safeguard in ensuring robust and compliant financial statements.

GST Advisory Update – Pre-Deposit Payment in Appeals

-D. Sri Chaitanya

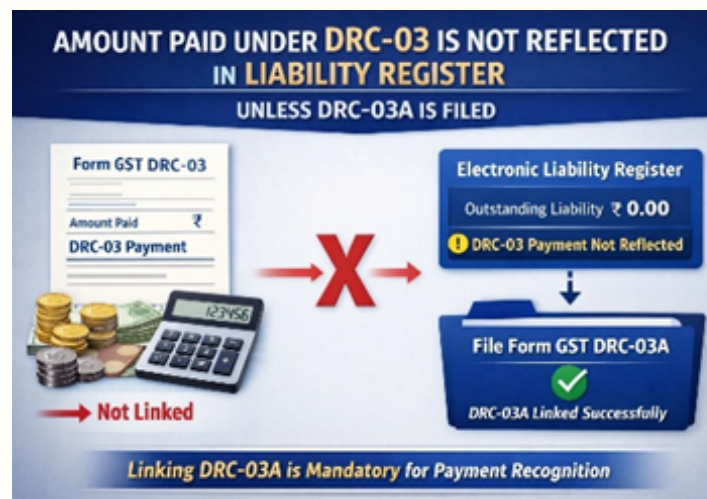
Issue Involved

A common frustration during GST litigation occurs when a taxpayer makes a "voluntary" payment during an audit via Form DRC-03, only to find that the GST Portal "ignores" this payment when they later try to file an appeal.

To file an appeal, the law requires a mandatory pre-deposit (usually 10% of the disputed tax). Because the system previously did not link a voluntary DRC-03 to a specific Demand ID, taxpayers were often forced to pay the same amount twice—once during the audit and once to file the appeal. This led to severe working capital blockage and unnecessary refund claims.

The Solution: Enter Form GST DRC-03A

To bridge this gap, the government introduced Form GST DRC-03A. This is a "linking tool" that allows a taxpayer to map a previously paid DRC-03 to a specific Demand ID generated by an Order (such as an Assessment Order under Section 73 or 74). Once this link is established, the payment is reflected in the Electronic Liability Register (Part II), and the portal recognizes it as a valid pre-deposit.



Strategic Implications for Assessee

The introduction of DRC-03A brings much-needed relief to the taxpayer's bottom line:

Case A: Full Coverage - If your linked DRC-03 payment is greater than or equal to the mandatory pre-deposit amount (e.g., you paid 15% voluntarily and the pre-deposit is 10%), the portal will mark the requirement as "Satisfied." No additional cash outflow is required to file your appeal.

Case B: Partial Coverage - If the linked payment is less than the required pre-deposit, you are only required to pay the remaining balance. This ensures that your previously paid taxes are not "trapped" or ignored by the system.

GSTR-3B Evolution – The New Mandatory "Tax Liability Breakup"

-D. Sri Chaitanya

The Shift Toward Precision

The GST Portal has recently moved from "Summary Filing" to "Detailed Filing." The most significant change is the new requirement to provide a **Tax Liability Breakup** within the GSTR-3B. Previously, if you missed reporting an invoice in January and reported it in February, you would simply add it to the February totals. Now, the portal requires you to explicitly state which portion of your current tax payment belongs to which *previous tax period*.

Auto-Population and the "Save" Hurdle

The system now auto-populates this breakup based on the data you provided in your **GSTR-1, GSTR-1A, or IFF**. While this sounds helpful, it has created a mandatory technical step that can prevent filing. Even if a taxpayer has **no past-period liability**, the "Tax Liability Breakup" tab must be opened, reviewed, and—most importantly—**SAVED**. Without clicking "Save" in this specific sub-menu, the "Proceed to File" button for the main GSTR-3B will remain disabled.

Period	Integrated Tax (₹)	Central Tax (₹)	State/UT Tax (₹)	CESS (₹)	Action
September 2024	500.00	100.00	100.00	10.00	
August 2024	100.00	100.00	100.00	10.00	

The Mandatory Compliance Step

To avoid filing errors or last-minute delays, taxpayers must follow this specific sequence within the portal:

1. **Offset Tax Liability:** Complete the payment of taxes using ITC or Cash as usual.
2. **Open "Tax Liability Breakup, As Applicable" Tab:** This button will appear after the liability is offset. You must click it to enter the sub-window.
3. **Review Details:** The portal will show a period-wise breakup. Verify if the amounts correctly match your delayed filings (if any).
4. **Click "SAVE":** This is the most critical step. Even if the data is correct or shows "Zero" for past periods, the system requires a manual "Save" action.
5. **File GSTR-3B:** Only after the success message for the "Save" action appears will the final "File" button become active.

Highlights at a Glance

- **Purpose:** Ensures proper interest computation for delayed reporting of outward supplies.
- **Mandatory Status:** This step applies to **all taxpayers**, regardless of whether they have past-period liabilities or not.

Year-End Requirements & New Financial Year 2026-27 Readiness

-D. Sri Chaitanya

As we prepare to close the books for FY 2025-26, the following requirements serve as the critical bridge to the new financial year. From resetting invoice series to renewing export benefits and declaring tax preferences, these checkpoints are essential to ensure your business remains compliant and operationally sound from Day 1 of FY 2026-27.

The Fresh Start – Mandatory New Invoice Series for FY 2026-27

As we transition from Financial Year 2025-26 to 2026-27, the most fundamental task for every registered taxpayer is the commencement of a new, unique invoice numbering series. Under Rule 46(b) of the CGST Rules, 2017, every tax invoice must have a consecutive serial number that is unique for a specific financial year. Repeating a number from a previous year is not just a clerical error but it is a compliance failure that can halt your supply chain.

Zero-Rated Supplies – Renewing Your LUT (RFD-11)

For businesses engaged in the export of goods or services, or supplies to Special Economic Zones (SEZ), the Letter of Undertaking (LUT) is the most critical document in your folder. It allows you to make "Zero-Rated Supplies" without the immediate payment of Integrated GST (IGST).

However, an LUT is only valid for one financial year. The LUT you filed for 2025-26 will legally expire on March 31, 2026.

In light of these regulations, we need to file a fresh LUT for FY 2026-27 through the GST portal (Form RFD-11) before the current month ends.

Action Plan for Exporters:

- **Online Filing:** Log into the GST Portal → Services → User Services → Furnish Letter of Undertaking (LUT).
- **Form RFD-11:** Select the period as "2026-27" and ensure two witnesses are listed as per the requirement.
- **Immediate Confirmation:** Once the ARN (Application Reference Number) is generated, download the PDF and share it with your Customs House Agent (CHA) and bank to ensure smooth shipping and BRC (Bank Realisation Certificate) processing.

AATO – The All-India PAN Metrics

The Aggregate Annual Turnover (AATO) is calculated on an All-India basis for all GSTINs under the same PAN. It includes all taxable, exempt, and export supplies, as well as inter-state stock transfers. However, it excludes inward supplies taxable under Reverse Charge (RCM) and all GST taxes. Businesses must calculate this PAN-level total for the

closing FY 2025-26 to determine their mandatory compliance thresholds for the upcoming year.

E-Invoicing – The "Once Covered, Always Covered" Rule

E-invoicing remains mandatory for any taxpayer whose AATO exceeded ₹5 Crore in any financial year from 2017-18 onwards. Once you cross this threshold, the requirement to generate an Invoice Reference Number (IRN) is permanent, regardless of whether your turnover drops in subsequent years. Additionally, for businesses over ₹10 Crore AATO, a strict 30-day reporting window is now in effect; invoices not reported to the IRP within 30 days are legally invalid and block the recipient's Input Tax Credit (ITC).

Opting into the Composition Scheme (Form CMP-02)

For small businesses and service providers, The Composition Scheme simplifies GST for small businesses by replacing detailed monthly filings with a fixed tax rate—1% for manufacturers/traders and 6% for service providers—paid quarterly via Form CMP-08. To transition for FY 2026-27, you must file Form GST CMP-02 by March 31, 2026, as mid-year entries are not permitted. Note that opting in requires an ITC reversal on all held stock (via Form ITC-03) and restricts you from collecting GST or making inter-state outward supplies.



TDS on Transfer of Immovable Property for the Tax Year 2026-27 onwards

-V. Roopa Samhitha

Purchase from a Resident Seller

Section 393 of the Income-tax Act, 2025 (Section 194-IA of the Income-tax Act, 1961) provides that any person responsible for paying consideration for the transfer of immovable property (other than agricultural land) must deduct TDS at a rate of 1%, where consideration or stamp duty value of the property, whichever is higher, is Rs.50 Lakhs or more.

TDS is required to be deposited with the Central Government through Form 141(earlier Form 26QB) within 30 days from the end of the month in which deduction is made. The deductor shall issue a TDS certificate in Form 132 (earlier Form 16B) through the TRACES portal to the deductee.

Key TDS Compliance Points	
1	TDS is applicable if the total property value is Rs. 50 lakhs or more, irrespective of the individual share of each buyer
2	The consideration for transfer shall include incidental charges such as membership fees, parking fees, electricity/water facility charges, maintenance fees, etc.
3	Each buyer is required to deduct and deposit TDS and file the prescribed form separately, even where the purchase is financed through a loan.
4	GST shall be excluded from the consideration amount for the purpose of TDS deduction.

A correction statement may be filed to rectify errors in any schedule in Form No.141 within two years from the end of the tax year in which such statement is required to be delivered.

Practical Challenges under Form 26QB and the Improvements Introduced by Form 141:

Practical Issues	Illustration	Improvement in Form 141
Incorrect Reporting of Amount Paid/Credited	Two joint buyers purchase a property for Rs.1 Crore. Due to reporting errors, both buyers enter the full transaction value i.e Rs.1 Crore as the 'Amount Paid,' causing the seller's Form 26AS to incorrectly reflect a total sale of Rs.2 Crores. This mismatch triggers unnecessary tax scrutiny for the seller.	Separating the reporting of total property value from each buyer's share/proportion helping accurately reflect the total transaction value

Practical Issues	Illustration	Improvement in Form 141
Payment by one Buyer but Ownership by Two	A husband and wife bought a Rs.75 Lakh property jointly, but the husband paid the entire EMI and filed TDS only in his name. Afterwards, he received a tax notice because the law requires both legal owners to file separate TDS forms based on their ownership share, regardless of who provided the funds.	Ensures TDS credit is correctly attributed to all co-owners listed in the deed based on ownership ratio rather than just the source of funds/payment.
Multiple Buyer-Seller Combinations	A family of 3 sells a large plot to a developer group of 4 companies. This used to require 12 separate filings (one for every combination), leading to massive data entry errors.	Allows single filings for multiple sellers, reducing the administrative burden and the risk of inconsistent data.

Purchase from a Non-Resident Seller

Section 393 of Income Tax Act, 2025 (Corresponding to Section 195 of Income Tax Act, 1961) applies to any person making a payment to a non-resident regarding consideration for transfer of immovable property, whether an individual, firm, company or even a non-resident paying must deduct TDS if such income is chargeable in India.

- Person making payment to non-resident (Deductor / Buyers) should obtain a TAN (Tax Deduction Account Number) under 397 of the Income Tax Act 2025 before deducting the TDS. Deductor should also have their PAN number and PAN number of the NRI.
- The deductor must deduct TDS at the time of making payment to NRIs.
- TDS deducted by the buyer should be deposited through challan for TDS payment on or before the 7th of next month in which the TDS is deducted.
- TDS can be deposited online or through banks that are authorised by the government or the Income Tax Department.
- After depositing the TDS, the buyer should electronically file a TDS return by filing Form 144 (earlier Form 27Q). TDS returns are filed quarterly within the below due dates.

Quarter	Period	Due Date
Q1	Apr – Jun	31st July of the Tax Year
Q2	Jul – Sep	31st October of the Tax Year
Q3	Oct – Dec	31st January of the Tax Year
Q4	Jan - Mar	31st May of the tax Year immediately following the Tax Year in which Deductions made

- After the TDS returns have been filed, the deductor shall issue the TDS certificate, i.e., Form 131, to the NRI within 15 days from the due date of filing Form 144.
- In order to correct or update the details in an already submitted Form No. 144, the deductor can file a correction statement after processing by CPC-TDS within two years from the end of the tax year in which such statement is required to be delivered. For example, the correction statement in respect of Form No. 144 for the Quarter 1 of Tax Year 2026-27 can be filed upto 31.03.2029.
- The Finance Bill, 2026, proposes a significant compliance relaxation under the Income-tax Act, 2025, by exempting resident individuals and Hindu Undivided Families (HUFs) from the requirement to obtain a Tax Deduction and Collection Account Number (TAN) when purchasing immovable property from a non-resident seller. Once implemented, it will come into effect on 1 October 2026.

Consequences of Non-Compliance

Failing to file or delaying the deposit of tax carries heavy financial consequences:

- **Late Filing Fee (Section 427):** Rs.200 per day from the due date until the return is filed, not exceeding the TDS amount for which the statement was required. (capped at the total TDS amount).
- **Interest on Late Deposit (Section 398(3)(a)):** 1.5% per month (or part of a month) from the date of deduction to the actual date of deposit.
- **Interest on Late Deduction (Section 398(3)(a)):** 1% per month from the date tax was deductible to the actual date of deduction.
- **General Penalty (Section 461):** An additional penalty ranging from Rs.10,000 to Rs.1,00,000 can be levied by the Assessing Officer for incorrect information provided or delays exceeding one year.

April Month's Compliance Deadlines

Date	Category	Compliance/Form	Period
30-04-2026	Income Tax	TDS/TCS Deposit	March 2026
07-04-2026	FEMA	Form ECB-2	March 2026
07-04-2026	Income Tax	Securities Transaction Tax / Commodities Transaction Tax	March 2026
07-04-2026	Income Tax	Form 27C	March 2026
10-04-2026	GST	GSTR-7	March 2026
10-04-2026	GST	GSTR-8	March 2026
10-04-2026	Professional Tax	PT Return	March 2026
11-04-2026	GST	GSTR-1	March 2026
13-04-2026	GST	GSTR-1 (QRMP)	Q4 2026
13-04-2026	GST	GSTR-5	March 2026
13-04-2026	GST	GSTR-6	March 2026
14-04-2026	Income Tax	Form 16B/16C/16D/16E	February 2026
15-04-2026	PF / ESI	Monthly Contribution	March 2026
15-04-2026	FCRA	Quarterly Update	Q4 2026
15-04-2026	Income Tax	Form 15CC	Q4 2026
15-04-2026	Income Tax	Form 15CD	Q4 2026
15-04-2026	Income Tax	Form 3BB	March 2026
15-04-2026	Income Tax	Form 3BC	March 2026
15-04-2026	Income Tax	Form 49BA	Q4 2026
18-04-2026	GST	CMP-08	Q4 2026
20-04-2026	GST	GSTR-3B (Monthly)	March 2026

April Month's Compliance Deadlines

Date	Category	Compliance/Form	Period
20-04-2026	GST	GSTR-5A	March 2026
22-04-2026	GST	GSTR-3B (QRMP)	Q4 2026
24-04-2026	GST	GSTR-3B (QRMP)	Q4 2026
25-04-2026	GST	ITC-04	H2 2026
25-04-2026	GST	PMT -06	-
30-04-2026	Income Tax	Form 26QB/QC/QD/QE	March 2026
30-04-2026	Companies Act	Form MSME-1	H2 2026
30-04-2026	Income Tax	Form 10BBB	Q4 2026
30-04-2026	Income Tax	Form 15G/15H	Q4 2026
30-04-2026	Income Tax	Form 24G	March 2026
30-04-2026	Income Tax	Form II SWF	Q4 2026
30-04-2026	Income Tax	Form 61	H2 2026

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